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1. Overview of the system

Austria's unemployment insurance benefits are related to previous earnings subject to a maximum of 55 per cent of the net-earnings level and are paid for up to one year. UI assistance benefits also based on previous net income in work may then be paid. A means-tested minimum income scheme provides a safety net for all inhabitants. The tax unit is the individual.

1.1. Average worker wage (AW)

The 2011 AW earnings level is EUR 39 693¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2009-2010, OECD, 2011, part 4, sections 2 and 3.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

To qualify, workers must have worked at least one out of the last two years.

2.1.2 Contribution conditions

Unemployment insurance is compulsory for dependent workers but only up from a monthly earning of **EUR 374.02** (*Geringfügigkeitsgrenze*). UI is not for civil servants. Self-employed can insure themselves voluntarily. To qualify, workers need to have contributed 52 weeks in the last 24 months. Only 28 weeks suffice in case of repeated spells of unemployment.

2.2 Calculation of benefit amount

2.2.1 Calculation of benefit

Benefits are defined as a percentage of after tax income: 55 per cent of the average net reference income over a year (which is called the basic amount). If the unemployment benefit including a possible family supplement (*Familienzuschlag*) for the maintenance of dependants falls short of the equalisation supplement reference rate for a single person (*Ausgleichszulagenrichtsatz*, see 3.2.1) then a supplement (*Ergänzungsbetrag*) is granted. In this case total benefits may not exceed 60 per cent of reference income and 80 per cent for benefit recipients with dependants, respectively. For benefit recipients who qualify for the *Ergänzungsbetrag*, total unemployment benefit after *Ergänzungsbetrag* and family supplements may not exceed the equalisation supplement reference rate (*Ausgleichszulagenrichtsatz*).

Maximum monthly earnings for the purpose of calculating the maximum benefit amount are **EUR 3,930** which result in a maximum benefit of **EUR 45.53** (without possible family supplements) per day. Note that the cap of the contribution-base to the UI-fund is at **EUR 4,200**. The daily benefit is increased by EUR 0.97 per dependent (family supplement). For the purposes of this publication, “net income” is defined as gross earnings minus social security contributions, minus income tax minus work-related expenses.

2.2.2 *Income and earnings disregards*

The basic benefit is not affected by the beneficiary’s own work related earnings as long as they do not exceed **EUR 374.02** per month. Earnings from work above this level generally results in the total loss of all benefit entitlements.

If the recipient has a work contract which lasts not more than 27 days with an earning more than **EUR 374.02**, benefits are withdrawn completely during the period of work. Additionally, benefits for days not worked in that month will be reduced according to a specific rule. In some cases (such where the benefits are not very high and/or earnings are rather high) this reduction can, however, result in a complete withdrawal.

Income from other sources (rent, interest etc.) does not affect UI benefit.

2.3 *Tax treatment of benefit*

Benefits are tax-free.

2.4 *Benefit duration*

Benefit is payable 7 days per week immediately upon entry in unemployment, without a waiting period. The total duration is 20 weeks or more, depending on the employment record, with ceilings depending on age:

- 30 weeks after 156 weeks of work in 5 years.
- For recipients aged 40 and above: 39 weeks after 312 weeks of work in 10 years.
- For recipients aged 50 and above: 52 weeks after 468 weeks of work in the last 15 years.

The benefit duration can be increased up to 156 weeks or up to 209 weeks for workers participating in specific labour market policy activities (employment foundations – *Arbeitsstiftungen*).

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

For persons under 25, a 26-week employment record in the last 12 months is sufficient to qualify for their first UI benefit.

2.5.2 *Older workers*

See 2.4 above.

3. Unemployment assistance (Notstandhilfe)

3.1 Conditions for receipt

The benefit is only payable after exhaustion of UI benefits and if the person is in need/poverty.

3.1.1 Employment conditions

None.

3.1.2 Contribution conditions

To qualify, workers must have already received UI benefits.

3.2 Calculation of benefit amount

3.2.1 Calculation of benefit

The benefit amounts to 92 per cent of the previous *basic* UI benefit or 95 per cent of the previous *basic* UI benefit plus 95 per cent of the supplement (*Ergänzungsbetrag*) for low income groups, *i.e.*, persons whose *total* unemployment insurance benefits were less than **EUR 793.40** per month (this amount is the standard value for the equalisation supplement reference rate, the so called *Ausgleichszulagenrichtsatz*). Family supplements as described in section 2.2.1 above are paid on top of that.

3.2.2 Income and earnings disregards

Benefit is not affected by other income or earnings of the spouse not exceeding **EUR 501** per month. This exemption limit is raised by **EUR 250.50** for each child. The threshold for the reduction of the benefit is **EUR 1,129** (plus **EUR 136** for each of the first three children and **EUR 113** for each further child). Any net income of the spouse above that amount reduces unemployment assistance.

The benefit is not affected by the beneficiary's own work related income as long as this income does not exceed **EUR 374.02** per month; earnings from work above this level generally results in the total loss of all benefit entitlements. If the recipient works not more than 27 days UI benefit for days not worked is reduced (see also 2.2.2.).

Income from other sources (rent, interest etc.) affects UI assistance.

3.3 Tax treatment of benefit

Benefits are tax-free.

3.4 Benefit duration

Indefinite, as long as recipients qualify.

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

Disregards concerning spouses' incomes are higher for older UA-recipients, but only if they have a longer contribution time. For recipients over the age of 50 the exemption limit is **EUR 1,002**

Reference date for all information is **July 1st 2011 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

(and in addition **EUR 501** for each child), for recipients older than 55 it is **EUR 1,503** (additional **EUR 751.50** for each child).

4. Means-tested minimum income

The means-tested minimum income is a reform of the former social assistance. It provides the same minimum standard to eligible persons across the nine federal states.

Two forms of assistance benefits exist: general assistance (*means-tested minimum income*) and supplementary pension (*Ausgleichzulage*), the latter is only paid to age pensioners or other persons incapable of working and is, therefore, not considered.

4.1 Conditions for receipt

The means-tested minimum income is based on a subsidiary principle and, therefore, constitutes the last resort in social security. Persons are eligible only if they do not have adequate financial resources to support themselves and their dependents, respectively, through other resources (e.g., income, social insurance) or assets.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The means-tested minimum income is due twelve times a year. It amounts to EUR 752.94 for single persons and EUR 1,129.41 for couples per month. These figures comprise a share of 25% for housing costs.

The modernized scheme aims to achieve more unification among the different social assistance regulations of the various provinces. The benefit levels must not be lower than the former social assistance benefit levels.

Monthly rates in EUR (1.10.2011)

Family type	Carinthia	Upper Austria	Vienna
Single person	753.62	821.50	752.94
Couple	1,129.41	1,157.60	1,129.41
Dependent child	135.55	189.00	203
	(1 st to 3 rd born child)		
	184.00		
	(from the 4 th born child on)		

Remarks: The rates include the benefits for housing (25%)
 (Exception: Dependent child Vienna).

Minimum income scheme recipients in Vienna also qualify for a one-off heating supplement (Heizkostenzuschuss) of EUR 100.

4.2.2 Income and earnings disregards

Entitlements depend on household resources rather than those of the individual or nuclear family. Officially other relatives have a duty under family law to provide financial support. The obligation under the social assistance law to pay back benefits later when income is received was abolished. In this report, every income and moveable asset (with some exceptions) is considered in the

means and income test apart from family benefits. Since the introduction of means-tested minimum income in Austria, there is a new “fixed tax allowance on assets” (EUR 3,764.70). Every asset over the fixed tax allowance on assets has to be used up before a benefit can be granted. Alimony payments from the absent parent are taken into account when calculating the entitlement to the means-tested minimum income.

If household income is below the means-tested minimum income threshold irrespective of reason (low unemployment benefit, low wages whatever) people concerned are entitled to a “top-up” means-tested minimum income.

4.3 *Tax treatment of benefit*

The benefit is not taxable.

4.4 *Benefit duration*

As long as the social administration considers that the household is eligible.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

None.

4.5.2 *Older workers*

None.

5. Housing benefits

The costs can be covered partly by the means-tested minimum income and also by other schemes. Because the treatment of housing costs varies widely geographically, Vienna is taken as an example.

There exists “Mindestsicherung-Mietbeihilfe”, “Wohnbeihilfe” and „Mietzinsbeihilfe“ in Vienna.

Means-tested minimum income recipients receive a basic subsidy for housing costs (25% of the applicable minimum standard) and in case of high housing costs an additional “Mietbeihilfe”. Its amount depends on the number of persons concerned. Persons with small pensions (e.g. persons receiving supplementary pensions) may also receive a “Mietbeihilfe”.

“**Wohnbeihilfe**” (granted by the City of Vienna) depends on the type of housing, this means that there are differences according to housing in

- subsidised built houses
- subsidised renovated houses
- privately rented, non-subsidised built or renovated houses – called “Allgemeine Wohnbeihilfe”.

According to the OECD demand, only the “Allgemeine Wohnbeihilfe” is shown.

5.1 Conditions for receipt

“Mietbeihilfe”:

Austrian citizens and persons with equal status (persons with a refugee or subsidiary protection status, EU/EFTA citizens, third country nationals with a Permanent leave to remain, third country nationals with a Residence permit for permanent residence);

“Wohnbeihilfe”:

- Only for persons with Austrian nationality, persons equal in law and foreigners with a legal stay in Austria for more than five years
- In addition, a net-income per month is required, at least
 - for one person EUR 752.94; for two persons EUR 1,128.89
 - per child EUR 78.91

No “Wohnbeihilfe” is paid to owners of flats and tenants with family relationships to lessors.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The amount depends on the rent per month, the household income per month, the number of the people living in the household and the size of the flat.

Maximum amount of “Mietbeihilfe” for people receiving the means-tested minimum income in Vienna

Monthly rates

Persons	Maximum amount in
---------	-------------------

	EUR
1 or 2	282
3 or 4	295
5 or 6	313
7 and more	330

If the housing costs are higher than the basic subsidy for housing costs (e.g. in case of a 1-Person household EUR 188.24 = 25% of the applicable minimum standard), the additional “Mietbeihilfe” will be EUR 93.76 (EUR 282 minus EUR 188.24). For persons with small pensions and older recipients of the means-tested minimum income (“DauerleistungsbezieherInnen”) the basic subsidy for housing costs is quite smaller, so they can get a higher additional “Mietbeihilfe (e.g. in case of a 1-Person household EUR 282 minus EUR 101.64 = EUR 180.36).

“Wohnbeihilfe”:

The difference between “Anrechenbarer Wohnungsaufwand” (countable housing expenditure) and “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is paid as “Wohnbeihilfe” (more details about the calculation of the “Allgemeine Wohnbeihilfe” see Annex A).

5.2.2 *Income and earnings disregards*

See section 4.2.2.

5.3 *Tax treatment of benefit*

The benefit is not taxable.

5.4 *Treatment of particular groups*

The family income as basis of the “Zumutbarer Wohnungsaufwand” is reduced per 20% in favour of families in special situations:

- families with all members under the age of 40,
- families with one child under the age of six,
- families with a member that is handicapped at least 45 %,
- families with at least three children,
- families with a handicapped child and
- single parent families, not remarried or in a similar partnership.

6. Family benefits

6.1 Conditions for receipt

Family benefits are paid only to families with dependent children.

6.2 Calculation of benefit amount

The per capita amounts are differentiated to age groups.

6.2.1 Calculation of gross benefit

The family allowance for children under the age of 3 is EUR 105.40 monthly, it is EUR 112.70 monthly up from the age of 3 to the age of 10, it is EUR 130.90 monthly up from the age of 10 to the age of 19 and EUR 152.70 monthly up from the age of 19.

For students and children in vocational training family benefits can be paid until the age of 24 (with a few exceptions until the age of 25).

The total amount of the benefit is increased by EUR 12.80 per month for two children, EUR 47.80 for three children and EUR 97.80 for four children and EUR 50 for each additional child.

There is a further increase (*Mehrkindzuschlag*) of EUR 20 per month for the third child and additional ones if household taxable income is below the annual limit EUR 55,000 per year.

Instead of the “13th allowance” of the family benefit an additional amount of EUR 100 is paid out for children between 6 and 15 in the month of September (*Schulstartgeld*).

Beside these family benefits all families also receive EUR 58.40 per month for each child as a negative tax. (Although the source for this benefit is the tax system it can be characterized as a social benefit, since all families - including families who pay no taxes – are entitled to it.).

6.2.2 Income and earnings disregards

Child benefits are not subject to any means test. Benefits are not paid out for youth above 18 who are in education and earn more than EUR 10,000 per year;

6.3 Tax treatment of benefit

Family benefits are not taxable.

6.4 Treatment of particular groups

Handicapped children entitle families to increased benefits (plus EUR 138.30 per month).

7. Childcare for pre-school children

Percentage of children in childcare centres 2010:

0-2 years: 17.1 %

3-5 years: 90.7%

6-9 years: 16.3%.

Compulsory school-age is 6.

7.1 Out-of-pocket childcare fees paid by parents

To improve social, linguistic and cognitive skills of preschool-children compulsory child-day-care was introduced for all children at the age of 5 in September 2010. Day-care is provided free of charge for at least 4 hours per day for children of this age throughout Austria. The criteria in detail are fixed by a treaty between the federal government and the federal states.

Additionally, there is child-care offered free of charge in the different states (all-day-care for children 0 - 6 years in Vienna and Burgenland; half-day-care for children 2,5 - 6 in Lower Austria and Upper Austria, half-day-care for children 4 - 6 in Tyrol);

In any other day-care facilities parents fees depend on the family net income (which consists of both incomes, family allowance etc.), the number of cared for children, the number of siblings. The costs vary considerably because they are defined by private child-care-centres and municipalities. Childcare is subsidised by states and communities in order to decrease parent's fees.

In 2009 a tax deductibility up to a figure of EUR 2,300 per year and child was introduced for childcare costs for children up to 10 years.

At the end of May 2011 the coalition partners decided on seven work packages and inter alia agreed to continue the expansion of childcare facilities - especially for children aged up to three years. It is aimed to create about 5,000 additional childcare places annually funded by EUR 15 Mio. p.a. in the years 2012-2014. To guarantee continuation of current projects EUR 10 Mio. are being mobilized for this year.

7.2 Childcare benefits

7.2.1 Conditions for receipt

Childcare allowance (*Kinderbetreuungsgeld – KBG*) is due to (*gebührt*) births in the period as from 1 January 2002.

- Childcare allowance is received by all mothers/fathers (also adoptive or foster parents), regardless of whether they were in employment before the birth (Exception: income related childcare allowance), and is thus also available to housewives, students etc. To receive childcare allowance there needs to be receipt of family allowance (*Familienbeihilfe*), the parent claiming has to live in the same household as the child, the examinations according to the mother-child pass programme have to be carried out and the ceiling of additional earnings (depending on the chosen option) must not be exceeded.

Since 2006 another condition of entitlement to child care allowance was established: parent and child must have their centre of interests (*Mittelpunkt der Lebensinteressen*) within the federal territory; Nationals of third countries have to stay legally (*rechtmäßiger Aufenthalt*) in Austria.

- Childcare allowance cannot be claimed while there is entitlement to maternity allowance. However, if maternity allowance is lower than childcare allowance, there is an entitlement to a supplementary amount up to the level of childcare allowance.
- Childcare allowance is only paid for the youngest child. If a further child is born while childcare allowance is being drawn, entitlement for the older child ends with the birth and childcare allowance is then received for the newly-born child.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

As of January 2010 claimants may choose between two schemes (offering a total of five options):

- Flat-rate childcare allowance (four options) both recognises and remunerates in part the commitment and work involved for parents in caring for small children. Parents may claim these flat-rate allowances irrespective of whether they were economically employed prior to the birth of the child or not.
- Income-related childcare allowance is primarily designed to give better earning parents – who want to withdraw from the labour market for a limited period of time only – the opportunity of receiving some compensation for the earnings foregone during that period.

Flat rate:

Option 30 plus 6 means, that one parent alone may receive child care allowance amounting to EUR 436 per month up until the child is 30 months old. The child care allowance will only be paid out in the full amount up until the child turns 3 if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least half a year. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 20 plus 4: one parent may receive child care allowance amounting to roughly EUR 624 per month until the child is twenty months old. The child care allowance will only be paid out in the full amount up until the child turns 2 if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 4 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 15 plus 3 means, that one parent alone may receive child care allowance amounting to about EUR 800 per month up until the child is 15 months old. The child care allowance will only be paid out in the full amount up until the child is 18 months old, if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 3 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 12 plus 2 means that one parent alone may receive child care allowance amounting to about EUR 1000 per month up until the child is 12 months old. The child care allowance will only be paid out in the full amount up until the child is 14 months old, if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 2 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Option 12 plus 2 (income-related) means that one parent alone may receive child care allowance up until the child is 12 months old. The child care allowance will only be paid out in the full amount up until the child is 14 months old, if the parents take turns in receiving the allowance and the other parent receives the child care allowance for at least 2 months. Months of child care allowance, which the second parent does not take on, cannot be transferred to the first parent.

Income-related childcare allowance amounts to 80% of maternity allowance paid in Austria or of fictitious maternity allowance (calculated on the basis of income earned in Austria). Additional calculations automatically performed by the social health insurance institution and based on the formal tax assessment of income last earned in Austria in the calendar year prior the child's birth (in which no childcare allowance was claimed) may result in an increase of the daily rate but not in a reduction of this rate (most favourable rate approach). The maximum is about 2,000 Euro per month.

Multiples' supplement/flat rate options:

In the case of multiple births, childcare allowance will be raised by a supplement of 50% of the chosen flat-rate option for every other child born.

When receiving child care allowance, parents may take turns twice in each variant, with one period lasting for at least two months. It is not possible for both parents to claim child care allowance simultaneously, even for siblings. In case of doubt, the parent who looks after the child more often has priority.

Payment of the child care allowance is linked with the medical examinations required under the mother-child pass scheme: For full entitlement to child care allowance over the entire period chosen, the prescribed mother-child pass examinations must be undergone at defined intervals and proven to the health insurance fund. Five examinations during pregnancy and five check-ups of the child are obligatory, the last one taking place around the child's first birthday.

If proof is not furnished completely and in due time, the child care allowance will be reduced to half as from the child's 10th/ 13th /17th or 25th months, depending on the variant chosen. In the income-related scheme the daily rate will be reduced by €16.50 as of the 10th month of the child. In multiple births evidence of the mother-child pass check-ups must be furnished for all multiple birth children. In the event that examinations were missed out or deadlines expired, the multiple birth supplement will also be reduced.

The childcare allowance is subject to an application, which has to be filed with the health insurance fund in charge. The relevant health insurance fund is the one which the person entitled to claim benefit is insured with, or was last insured with (otherwise the regional health insurance fund). If the application for childcare allowance is made late, payment can only be backdated for a maximum of six months.

The parent drawing childcare allowance is covered by health insurance for this period.

Assistance to single parents in the case of hardship

In special cases of hardship single parents may extend by another two months the maximum period of benefit entitlement of one parent under the chosen option if

- the other parent is prevented by any specific event from sharing the common household and thus from claiming childcare allowance (death, committal to mental hospital or nursing home, cases of domestic violence identified by courts or public authorities, stay in women's refuge, imprisonment), or
- one parent has been single for at least four months at the time of period extension, has filed an application for maintenance (alimony) and earns no more than EUR 1,200 net over a specific period of time (plus €300 for every dependent person in the household).

7.2.2.2 Income and earnings disregards

Definition of income: The following income within the meaning of the Income Tax Act (*Einkommensteuergesetz*) is taken into account for the calculation:

- Income from agriculture and forestry
- Income from independent personal services
- Income from commercial activities
- Income from employment

Under the flat rate scheme parents may earn 60 % of their prior income, at a minimum EUR 16,200 in the calendar year.

Under the income-related allowance scheme parents may only earn an additional EUR 5,800 in the calendar year in question (which would correspond to the marginal earnings threshold). Also, they may not claim any unemployment insurance benefits.

Only the earnings of the parent claiming childcare allowance are taken into account. If the exemption limit is exceeded, the child care allowance will be claimed back up to the amount above the exemption limit (until 31/12/2007, the total child care allowance received for the calendar year had to be repaid). It is however possible to waive the right to parts of child care allowance. This type of waiver can however only be made in advance and for whole calendar months. The income of the month, while the right of child care allowance is waved, is not taken into account for the calculation of earnings level.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Child care allowance is tax free.

Family allowance can be received at the same time; also unemployment insurance benefits, if income limit is not exceeded (exemption: income-related child care allowance;); for further conditions see unemployment insurance benefits.

7.2.4 *Treatment of particular groups*

Births starting from 1/1/2010 (new regulations):

Lone parents and married couples (or partners) on low incomes can apply for a supplementary payment to child care allowance amounting to EUR 6.06 per day. During the period in which a supplementary payment is drawn, the person receiving child care allowance can earn up to EUR 5,800 per calendar year. Concerning married couples/partners: there is an income limit for the partner as well: EUR 16,200.

8. Employment-conditional benefits

There exists a modified in-work benefit (*Kombilohnbeihilfe*) targeted at the elderly (>50 years), handicapped persons and those returning to work after parental leave who were registered unemployed for more than 182 days. The in-work benefit is granted in form of a monthly wage top-up as an incentive to take up low-paid employment (between EUR 650.01 and EUR 1,700).

The amount of the benefit accounts for

- EUR 150 per month for a maximum of 34 working hours per week
- EUR 300 per month from 35 working hours per week with a monthly gross earnings up to EUR 1,500 / EUR 150 per month with gross earnings exceeding EUR 1,500

Note: Gross earnings here are current monthly earnings without Holiday and Christmas payments; i.e. 12/14 of yearly gross earnings.

This measure is an instrument of active Labour Market Policy for unemployed with reduced chances of Labour Market inclusion aiming at the promotion of taking up work and is administrated by the Public Employment Service (AMS) on an individual basis. The allowance can only be granted as a result of a counselling and guidance process.

The maximum duration of benefit receipt is one year.

9. Lone-parent benefits

See section 10.1.1.2.

10. Tax system (will be provided by the Centre for Tax Policy and Administration)

Income concept: apart from 12 current monthly payments, Austrian employees usually receive two bonuses of the same amount. Whereas current payments are taxed according to the income tax schedule, there is a special favourable schedule for non-current payments (13th and 14th salary).

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- Work related expenses: a minimum allowance of EUR 132 is available to all employees.
- Minimum allowance for special expenses EUR 60
- Social security contributions and connected contributions.
- Children allowance of EUR 220 for one or EUR 132 for both parents per child. The parents have the choice between these opportunities.
- Deductibility of cost for child care (up to EUR 2.300 p.a. per child) and tax-free payments (up to EUR 500 p.a.) from employers to their employees for child care.

10.1.1.2 Standard tax credits

- Employee's tax credit of EUR 54. In the overall tax calculation, negative tax is possible where the amount paid to the taxpayer would equal the gross tax minus tax credits but is limited to 10 per cent of social security contributions to a maximum of EUR 110.
- Traffic (commuting) tax credit EUR 291.
- Sole earner's and sole parent's tax credit for families with children. The sole earner's credit is not given when a spouse's income exceeds EUR 6 000. This tax credit is EUR 494 for one child and increases by EUR 175 for the second and by EUR 220 for the third and every additional child. This tax credit is non-wastable and can be paid out as a negative income tax (in addition to the negative tax permitted in respect of the Employee's tax credit).
- Children's tax credit EUR 700.8 per child.

Notes on Negative Credits:

The formula for calculating the final “Net tax on current income” is: first, intermediate tax on current income (ITCI) is calculated as Gross Tax on current income minus some credits (general tax credit, sole earner's credit, wage earner's credit and wage earner's traffic credits). Then:

- If $ITCI > 0$, Net tax on current income is equal to ITCI.
- If $ITCI < 0$, Net tax on current income is the maximum of:
 - ITCI.
 - $-0.1 \times \text{Employee's SSC}$ – (Sole earner's tax credit if there are children).
 - -110 – (Sole earner's tax credit if there are children).

10.1.2 *Income tax schedule*

The new tax schedule has a zero-zone up to EUR 11 000 and shows tax formulas for three tax brackets. The effective marginal tax rates resulting from these formulas are:

Income (EUR) up to	Marginal rate %
11 000	0
25 000	36.5
60 000	43.21429
Above	50

There is a special taxation other than the normal tax schedule for Christmas and leave bonus to the extent that their sum does not exceed two average monthly payments (1/6 of current income). If these bonuses before deduction of SSC are below EUR 2 100 p.a., no tax is calculated. Otherwise the tax is the minimum of 30 per cent of the amount net of SSC exceeding EUR 2 000 and of 6 per cent of total bonuses minus a tax-free amount of EUR 620.

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contribution schedule*

.1.

Employee and Employer Social Security Contributions

	Ceilings (EUR)		Rates (%)	
	Regular wage per month	Christmas and leave bonus	Employee ⁽²⁾	Employer ⁽³⁾
Health insurance	4 200	8 400	3.95	3.70
Unemployment insurance	4 200	8 400	⁽⁴⁾	3.00
Pension insurance	4 200	8 400	10.25	12.55
Accident insurance	4 200	8 400	--	1.40
Contribution to the labour chamber	4 200	8 400	0.50	--
Contribution for the promotion of residential building	4 200	8 400	0.50	0.50
Addition to secure wage payments in the case of bankruptcy	4 200	8 400	--	0.55

1. No contributions on Christmas and leave bonus. In Revenue Statistics, the contribution to the labour chamber is accounted under Taxes on Income of Individuals (1110), the total of the contribution for the promotion of residential buildings is included in Taxes on payroll (3000).
2. There is a threshold for employee contributions of EUR 374.02 per month.
3. A new program has been introduced as of January 1, 2004 for severance payments. Employers are required to pay 1.53 per cent of gross wages to the Social Health Security Fund (“Krankenkassen”) for those whose employment starts after January 1, 2003 or where the employer and employee opt to participate in the new program. This contribution is seen as a non-tax compulsory wage-related payment.
4. Mid 2008, the employees’ unemployment insurance rate was reduced for low earnings. In 2010, it is zero for monthly earnings up to EUR 1 179, 1% up to EUR 1 286, 2% up to EUR 1 447 and 3% above.

10.4. Payroll taxes

There are two payroll taxes which are levied on employers for all private sector employees with a monthly gross wage total of more than EUR 1 095: the contribution to the Family Burden Equalisation Fund (4.5 per cent) and the Community Tax (3 per cent). The wage-dependant part of the contribution to the Entrepreneurs’ Chamber (listed under heading 1000, taxes on profits, in the *Revenue Statistics*) which is levied, together with the contributions to the Family Burden Equalisation Fund, at different rates depending upon the Länder Chamber (the average rate is approximately 0.4 per cent) is not taken into account. The contribution for the promotion of residential buildings (listed under heading 3000, taxes on payroll, in *Revenue Statistics*) is included in the social security contributions shown above as it is levied by the Health Insurance Companies on monthly income (current) along with the other social security contribution amounts.

11. Part-time work

11.1 Special benefit rules for part-time work

None.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced since July 2010

From September 1st 2010 on 95 per cent of the supplement (*Ergänzungsbetrag*) paid to raise the unemployment benefits for claims not exceeding the equalisation supplement reference rate (*Ausgleichszulagenrichtsatz*) (see 2.2.1.) will be paid also to the unemployment assistance (as a part of means-tested minimum income).

Since January 1st 2011 the duration of unemployment benefit may be extended by a maximum of 78 weeks, after having absolved measures of rehabilitation (“Maßnahmen der beruflichen Rehabilitation”).

The Part-time scheme for older workers (*Altersteilzeit*) is aimed at safeguarding and maintaining employment of older workers until retirement and the part-time allowance for older workers (*Altersteilzeitgeld*) can be paid to men over the age of 58 and woman over the age of 53 if they migrate to this scheme. The part-time allowance compensates for some of the additional cost (wage adjustment and social insurance contributions) incurred by the employer i.e. 90% of such costs if working hours are reduced on a continuing basis and 55% if they are reduced by one block of full-time work followed by a period of leave. From 2011 on the employer will get only 50% of his or her additional costs in case of the block of full-time work.

12.2 Future policy changes announced since 1st July 2010

ANNEX A

Wohnbeihilfe

Calculation of the “Allgemeine Wohnbeihilfe”

(in privately rented, non-subsidised built or renovated houses)

“Anrechenbarer Wohnungsaufwand“ (countable housing expenditure):

This means the legally permitted rent laid down in the lease contract;

- in case of a tenancy for an indefinite period and Category A flats - EUR 4.91 per m² at maximum,
- in case of a tenancy for a definite period and Category B flats - EUR 3.68 per m² at maximum,
- **IN CASE OF CATEGORY C+D FLATS - EUR 2.46 PER M² AT MAXIMUM.**

“Zumutbarer Wohnungsaufwand“ (reasonable housing expenditure):

The reasonable housing expenditure is calculated by EUR 1.62 per m².

The difference between “Anrechenbarer Wohnungsaufwand” (countable housing expenditure) and “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is paid as “Wohnbeihilfe”.